

FUTURE CFO 2035 · HARVARD / IVY-STYLE TEACHING CASE

The AI ROI Paradox in Finance

Forecasting adoption at 76 percent. Measurable return at 35 percent. Cash back on the board agenda. A mid-market manufacturer must choose between a platform and a scoreboard.

Academic Direction: Dr. Debasis Pahi, Ph.D., Indian Institute of Technology Kharagpur. Episode date: 30 August 2026. Primary field evidence: Protiviti 2026 Global Finance Trends Survey (released 26 August 2026) and J.P. Morgan Insights on AI-driven cash-flow forecasting (28 August 2026).

1. Purpose of the Case

This case is written for classroom use in MBA, CA, CMA and working-CFO programmes. It is not a vendor brief. Students are asked to treat published survey percentages as field evidence, treat bank-published error-reduction claims as hypotheses, and then sit in the chair of a chief financial officer who must allocate scarce capital under trade-policy and working-capital pressure. The pedagogical objective is to separate adoption from value — a distinction the 2026 survey data now make unavoidable.

2. The Field Evidence

2.1 Protiviti, Synchronize, 26 August 2026

On 26 August 2026 Protiviti released its 2026 Global Finance Trends Survey under the title Synchronize. The firm reported that 77 percent of finance organisations now employ artificial intelligence. Financial forecasting is the leading use case: adoption rose from 58 percent to 76 percent year over year. Risk assessment and management stands at 67 percent; process automation at 56 percent.

Two figures sit underneath the adoption headline and should dominate classroom discussion. First, only 35 percent of finance organisations say they are highly or moderately effective at measuring the return on AI investment. Second, only 14 percent employ AI pursuant to a defined strategy. Christopher Wright, global leader of Protiviti's CFO Solutions practice, stated the implication without ornament: finance leaders have moved beyond asking whether to adopt AI; the task now is to use it to make more informed decisions and to prove that it delivers measurable value.

A third finding reframes the use case. Security and privacy of data ranks as the top finance priority for a third consecutive year — ahead of planning, analytics and AI itself. In parallel, 83 percent of CFOs rank cash management among their top three areas requiring attention as economic, monetary and trade-policy volatility persists. Industry intensity is highest in financial services (61 percent), manufacturing and distribution (55 percent), healthcare (45 percent) and consumer products (41 percent).

Finding	Figure	Classroom reading
Finance organisations employing AI	77%	Adoption is no longer the debate.
AI used for financial forecasting	76% (from 58%)	The default use case has arrived.
Effective at measuring AI ROI	35%	The value gap is now the story.
AI under a defined strategy	14%	Most spend is still opportunistic.
CFOs ranking cash in top three	83%	Liquidity is the board language.
Data security & privacy priority	Year 3 at #1	Governance is the binding constraint.

Table 1. Selected findings, Protiviti 2026 Global Finance Trends Survey.

2.2 J.P. Morgan Insights, 28 August 2026

Two days later J.P. Morgan published a treasury note by Alberto Hernandez-Martinez on AI-driven cash-flow forecasting. The commercial claim is that machine-learning models — neural networks, random forests and ensembles — can reduce forecast error by up to 50 percent versus traditional methods, citing case studies at multinational corporations. The operational claim is that models now ingest ERP, CRM and market feeds in real time and, through natural-language processing, unstructured news. Scenario engines can generate thousands of paths rather than three pre-written cases: currency devaluation, customer default, supply-chain interruption.

The same note contains the control caveat that a classroom must not skip. Users of complex models 'should focus on ensuring the results they generate can be clearly explained and easily interpreted, particularly in regulated financial environments.' An unexplained fifty-percent improvement is not an audit-ready number. Students are instructed to treat the 50 percent figure as a vendor-adjacent hypothesis until it can be reproduced on the firm's own ledger.

2.3 Adjacent 2026 signals

Deloitte's Q2 2026 CFO Signals survey (23 July 2026) reported that 59 percent of CFOs cite the tension between pressure to deploy AI quickly and the duty to manage risk as the largest governance challenge. Forty-six percent name cost transparency as the top internal AI concern. MillTech's Global FX Report 2026, summarised on 21 August 2026, found that while 94 percent of firms believed their 2025 FX strategy was reasonably prepared, 58 percent still reported losses, and the mean cost of hedging rose 67 percent in 2025. Together these sources locate the Protiviti paradox inside a wider pattern: tools are arriving faster than measurement, governance and cash discipline.

3. The Teaching Firm — Meridian Components

Meridian Components Limited is a listed mid-market manufacturer of precision industrial parts. Plants sit in Pune, Chennai and Penang. Consolidated revenue is ■4,200 crore. Net debt to EBITDA is 2.4 times. Working-capital days have stretched from 78 to 96 across four quarters, driven by slower collections from two large OEMs and a build-up of safety stock after a 2025 Red Sea disruption. The revolving credit facility has a minimum-liquidity covenant. The next quarterly board review is in six weeks. The chair has asked for a 'live cash cockpit.'

The current 13-week cash forecast is a spreadsheet rolled by a six-person treasury team. Entity-level error is not published. Group-level error over the last four quarters has averaged 18 percent of the weekly closing cash balance, with worse misses in weeks that contain large OEM receipts. There is no named owner for forecast-error reduction. Bank statement, AP and AR data sit in three systems. Inventory is reliable at plant level and weak at SKU-export level.

4. The Friday Proposals

Option A — Platform. An 18-month, ■18 crore suite sold as an AI cash-forecast and scenario engine. The vendor cites the same 'up to 50 percent' error reduction that appears in bank thought-leadership. ERP integration is described as phase two. No named executive owns the ROI scoreboard. Implementation would consume the treasury team and a borrowed data engineer.

Option B — Instrument first. A ₹4 crore, two-quarter programme: clean bank, AP/AR and inventory lineage; stand up a weekly cash committee chaired by the treasurer with the controller as data attester; buy a narrow 13-week model with mandatory human review; publish entity-level forecast error every Monday. A full platform RFP is permitted only after two consecutive quarters in which measured error has fallen by at least 20 percent from the current 18 percent baseline.

5. You Are the CFO

You have 48 hours. The chair wants a one-page capital-allocation memo. You must choose A, B, or a sequenced hybrid, and you must answer five questions the audit committee will ask in open session.

1. What is the baseline 13-week forecast error today — by entity, not as a group average?
2. Which three cash decisions will change if that error falls by twenty points?
3. Who signs the weekly data-quality attestation — treasurer, controller, or vendor?
4. If a trade-policy shock arrives on a Friday, can liquidity be repriced by Monday morning?
5. Where does this spend sit in the capital stack versus a revolving-credit buffer of the same rupee amount?

A competent answer will not begin with the vendor's slide. It will begin with the covenant, the 96-day working-capital stretch, and the absence of an entity-level error series. Students who recommend Option A without naming an ROI owner have failed the case.

6. A Four-Gate Capital Test

Gate 1 — Objective. Name the cash, forecast or control decision the model must change inside ninety days. If the sentence cannot be written, the invoice should not be signed.

Gate 2 — Data. Who owns lineage, quality and access? Protiviti's third-year ranking of security and privacy as the top finance priority is the institutional warning. Treat data governance as a gate, not a workstream that starts after go-live.

Gate 3 — Explainability. Can a controller defend the number to statutory audit and to the board? J.P. Morgan's own caveat applies with force in India, where lenders and rating agencies still read cash, not dashboards.

Gate 4 — Scoreboard. Define baseline, target, owner and review cadence before go-live. The 35 percent who can measure AI ROI are the only cohort that can defend the next budget cycle. The other 65 percent are accumulating a narrative they cannot prove.

7. India Classroom Notes

GST e-invoicing and the TReDS infrastructure already give many Indian CFOs a structured receivables trail that Western mid-market peers still construct by hand. That is a data advantage only if lineage is attested. Multi-currency books — rupee working capital, dollar receivables, local-currency Penang costs — make a generic global model a poor first buy; stress the INR book first. Boardrooms in promoter-led and lender-heavy companies still respond to covenant headroom and cash conversion, not to transformation language. Speak that language.

8. Suggested Teaching Plan (75 minutes)

Minutes 0–10: freeze the four Protiviti numbers on the board (77, 76, 35, 14) and the cash figure (83). Minutes 10–25: cold-call on whether a 50 percent error cut is a fact or a hypothesis. Minutes 25–50: syndicate Option A versus Option B; force each syndicate to name an ROI owner and a Monday attestation. Minutes 50–70: plenary — sequence versus scale. Minutes 70–75: instructor close on the four gates.

9. Sources

Protiviti. 2026. “CFOs Turn to AI to Better Synchronize Finance and Enterprise Priorities, Report AI ROI Challenges: Protiviti Global Finance Trends Survey.” Press release, 26 August 2026. Survey report titled Synchronize.

Hernandez-Martinez, Alberto. 2026. “AI-Driven Cash Flow Forecasting: The Future of Treasury.” J.P. Morgan Insights, 28 August 2026.

Deloitte. 2026. “CFOs Face Pressure to Deploy AI Quickly While Managing Risk.” Q2 2026 CFO Signals Survey press release, 23 July 2026.

Hunt, Sam. 2026. “How AI is reshaping FX risk management for treasury teams.” The AI Journal, 21 August 2026, drawing on MillTech Global FX Report 2026.

© 2026 FUTURE CFO 2035 · Prepared for classroom use under the Academic Direction of Dr. Debasis Pahi, Ph.D., IIT Kharagpur. Figures are taken from named public sources of late August 2026. Vendor performance claims are reproduced as claims, not as verified results.